

D557

Corporate Taxation

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

Transferor A and Transferor B form a corporation. A transfers land with a basis of \$60,000 and FMV of \$150,000 and receives stock worth \$130,000 plus \$20,000 cash. B transfers equipment for the rest of the stock, and together they own 100% after the exchange. The corporation will run a chain of fitness studios. How much gain does A recognize?

- A. \$0, because section 351 formations are always tax-free.
- B. \$70,000
- C. \$90,000
- D. \$20,000

Target word	The one fact that decides	Answer	☐ sure ☐ unsure ☐ guess
_____	_____	_____	

2. [TRANSFER — reversed stem / different variable]

In a qualifying section 351 exchange, a transferor realizes a \$15,000 gain and receives \$40,000 of cash along with stock. How much gain is recognized?

- A. \$15,000
- B. \$0
- C. \$55,000
- D. \$40,000

Target word	The one fact that decides	Answer	☐ sure ☐ unsure ☐ guess
_____	_____	_____	

3.

In a qualifying section 351 exchange, a transferor gives land with a basis of \$60,000 and FMV of \$150,000 and receives stock worth \$130,000 plus \$20,000 cash, recognizing \$20,000 of gain. The land sits next to a planned highway interchange. What is the transferor's basis in the stock?

- A. \$150,000
- B. \$130,000
- C. \$80,000
- D. \$60,000

Target word	The one fact that decides	Answer	☐ sure ☐ unsure ☐ guess
_____	_____	_____	

4.

A C corporation with current E&P of \$30,000 and accumulated E&P of \$20,000 distributes \$80,000 cash to its sole shareholder, whose stock basis is \$25,000. The company makes custom furniture and has 14 employees. How is the distribution treated?

- A. \$50,000 dividend and \$30,000 capital gain.
- B. \$50,000 dividend, \$25,000 return of capital, and \$5,000 capital gain.
- C. \$30,000 dividend, \$25,000 return of capital, and \$25,000 capital gain.
- D. \$80,000 dividend.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

5. [TRANSFER — reversed stem / different variable]

A shareholder with a stock basis of \$10,000 received a \$40,000 distribution: \$22,000 was a dividend and \$8,000 was capital gain. How much E&P did the corporation have available for the distribution?

- A. \$22,000
- B. \$30,000
- C. \$40,000
- D. \$32,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

6.

A corporation distributes land (basis \$50,000, FMV \$120,000) and a truck (basis \$40,000, FMV \$25,000) to its shareholders as a nonliquidating distribution. The land once hosted a county fair. What gain or loss does the corporation recognize?

- A. An \$85,000 gain.
- B. Nothing, because distributions are not sales.
- C. A \$55,000 net gain.
- D. A \$70,000 gain; no loss on the truck.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

7.

A C corporation owns 30% of another domestic C corporation and receives \$100,000 of dividends. Its taxable income is well above the dividend amount. The investee is a publicly traded utility. What is the dividends-received deduction?

- A. \$50,000
- B. \$35,000
- C. \$65,000
- D. \$100,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8. [TRANSFER — reversed stem / different variable]

A corporation received dividends from a domestic corporation and claimed a \$40,000 dividends-received deduction equal to 50% of the dividends. No income limits applied. What ownership range and dividend amount does this imply?

- A. 20% to under 80% ownership; \$80,000 of dividends.
- B. Under 20% ownership; \$40,000 of dividends.
- C. Under 20% ownership; \$80,000 of dividends.
- D. 80% or more ownership; \$40,000 of dividends.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

A shareholder owns 60 of a corporation's 100 outstanding shares. The corporation redeems 30 of her shares, and no attribution rules apply. The corporation's shares are not publicly traded. Is the redemption substantially disproportionate?

- A. Yes; ownership drops from 60% to about 42.9%, below 50% and below 48% (80% of 60%), so it gets exchange treatment.
- B. No, because closely held companies cannot use the redemption rules.
- C. No; anything short of a complete termination is always a dividend.
- D. Yes, but it is still taxed as a dividend.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10. [TRANSFER — reversed stem / different variable]

A shareholder owned 50 of 100 shares. After a redemption she owns exactly 40% of the outstanding shares, and no attribution applies. Is the redemption substantially disproportionate?

- A.** Yes; she now owns less than 50%.
- B.** No; 40% is not less than 80% of her prior 50%.
- C.** No; she must own under 20% afterward.
- D.** Yes; any drop in ownership qualifies.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

In a complete liquidation, a corporation distributes equipment (basis \$200,000, FMV \$350,000) to its sole individual shareholder, whose stock basis is \$100,000. The company has operated in Ohio for 30 years. Ignoring the corporation's tax payment, what are the tax effects?

- A.** The corporation recognizes nothing because of the parent-subsidary exception.
- B.** The shareholder's \$250,000 is a dividend.
- C.** The corporation recognizes a \$150,000 gain and the shareholder a \$250,000 capital gain.
- D.** Only the shareholder recognizes gain.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

A closely held manufacturing C corporation has accumulated \$3 million of earnings with no documented plans to use them and pays no dividends. Its owners are in the top individual bracket. Its products sell in 12 states. What tax exposure does it face?

- A.** The AET on all \$3 million, with no allowance for business needs.
- B.** The accumulated earnings tax at 20% on earnings kept beyond reasonable business needs, which documented plans can defend.
- C.** The personal holding company tax, because it is closely held.
- D.** None; a C corporation may keep any amount of earnings.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer D Concept 1

Transferor A and Transferor B form a corporation. A transfers land with a basis of \$60,000 and FMV of \$150,000 and receives stock worth \$130,000 plus \$20,000 cash. B transfers equipment for the rest of the stock, and together they own 100% after the exchange. ~~The corporation will run a chain of fitness studios.~~ How much gain does A recognize?

Target word: recognized gain **Decides:** Lesser of realized gain (\$90,000) or boot (\$20,000).

A	Absolute language	Boot triggers gain even in a qualifying exchange.
B	Inverted operation	Subtracts the boot from the realized gain instead of capping gain at the boot.
C	Dropped element	Drops the section 351 deferral and taxes the full realized gain.
D	Correct	Gain is recognized only up to the \$20,000 boot.

2. Answer A Concept 1 · transfer

In a qualifying section 351 exchange, a transferor realizes a \$15,000 gain and receives \$40,000 of cash along with stock. How much gain is recognized?

Target word: recognized gain — boot exceeds gain **Decides:** Lesser of \$15,000 or \$40,000.

A	Correct	Recognized gain cannot exceed realized gain.
B	Absolute language	Boot always triggers gain up to the realized amount.
C	Inverted operation	Adds the two figures.
D	Dropped element	Drops the lesser-of cap.

3. Answer D Concept 2

In a qualifying section 351 exchange, a transferor gives land with a basis of \$60,000 and FMV of \$150,000 and receives stock worth \$130,000 plus \$20,000 cash, recognizing \$20,000 of gain. ~~The land sits next to a planned highway interchange.~~ What is the transferor's basis in the stock?

Target word: stock basis **Decides:** \$60,000 + \$20,000 gain – \$20,000 boot.

A	Confusion set	That is the land's FMV.
B	Adjacent category	That is the stock's fair value, not its tax basis.
C	Dropped element	Adds the gain but forgets to subtract the boot.
D	Correct	Basis carries over, adjusted up for gain and down for boot.

4. Answer B Concept 3

A C corporation with current E&P of \$30,000 and accumulated E&P of \$20,000 distributes \$80,000 cash to its sole shareholder, whose stock basis is \$25,000. ~~The company makes custom furniture and has 14 employees.~~ How is the distribution treated?

Target word: character of the distribution **Decides:** Total E&P \$50,000; basis \$25,000.

A	Dropped element	Skips the tax-free recovery of basis.
B	Correct	E&P first, then basis, then gain.
C	Adjacent category	Uses only current E&P and ignores accumulated E&P.
D	Absolute language	Dividends are limited to E&P.

5. Answer A Concept 3 • transfer

A shareholder with a stock basis of \$10,000 received a \$40,000 distribution: \$22,000 was a dividend and \$8,000 was capital gain. How much E&P did the corporation have available for the distribution?

Target word: solve for E&P **Decides:** The dividend portion equals available E&P.

A	Correct	Only the dividend portion comes from E&P.
B	Adjacent category	Adds the capital gain, which arises only after E&P and basis are used up.
C	Wrong stem number	That is the total distribution.
D	Inverted operation	Adds the return of basis to the dividend.

6. Answer D Concept 4

A corporation distributes land (basis \$50,000, FMV \$120,000) and a truck (basis \$40,000, FMV \$25,000) to its shareholders as a nonliquidating distribution. ~~The land once hosted a county fair.~~ What gain or loss does the corporation recognize?

Target word: corporate-level result **Decides:** Gain on appreciated property; no loss on depreciated property.

A	Inverted operation	Adds the truck's loss as if it were a gain.
B	Confusion set	Appreciated property is treated as sold at FMV.
C	Adjacent category	Nets the truck loss, which is not allowed.
D	Correct	Gain is recognized on the land, but the \$15,000 loss is disallowed.

7. Answer C Concept 5

A C corporation owns 30% of another domestic C corporation and receives \$100,000 of dividends. Its taxable income is well above the dividend amount. ~~The investee is a publicly traded utility.~~ What is the dividends-received deduction?

Target word: DRD amount **Decides:** 30% ownership falls in the 65% tier.

A	Adjacent category	That is the under-20% tier.
B	Inverted operation	That is the taxable portion, not the deduction.
C	Correct	20% to under 80% ownership earns a 65% deduction.
D	Confusion set	The 100% deduction needs 80% or more ownership.

8. Answer C Concept 5 • transfer

A corporation received dividends from a domestic corporation and claimed a \$40,000 dividends-received deduction equal to 50% of the dividends. No income limits applied. What ownership range and dividend amount does this imply?

Target word: solve for tier and dividends **Decides:** 50% rate means under 20% ownership.

A	Confusion set	That tier uses 65%.
B	Wrong stem number	That is the deduction, not the dividends.
C	Correct	$\$40,000 / 50\% = \$80,000$; 50% is the under-20% tier.
D	Inverted operation	80% or more earns a 100% deduction.

9. Answer A Concept 6

A shareholder owns 60 of a corporation's 100 outstanding shares. The corporation redeems 30 of her shares, and no attribution rules apply. ~~The corporation's shares are not publicly traded.~~ Is the redemption substantially disproportionate?

Target word: apply both tests **Decides:** After: 30 of 70 shares = 42.9%.

A	Correct	Both tests are met.
B	Camouflage	Public trading is irrelevant to the tests.
C	Absolute language	Substantially disproportionate redemptions qualify without full termination.
D	Confusion set	Qualifying means sale or exchange treatment, not dividend treatment.

10. Answer B Concept 6 · transfer

A shareholder owned 50 of 100 shares. After a redemption she owns exactly 40% of the outstanding shares, and no attribution applies. Is the redemption substantially disproportionate?

Target word: boundary of the 80% test **Decides:** $80\% \times 50\% = 40\%$; she must be below 40%.

A	Dropped element	Checks only the 50% test.
B	Correct	The test requires strictly less than 40%.
C	Adjacent category	There is no 20% test for redemptions.
D	Absolute language	Both numeric tests must be met.

11. Answer C Concept 7

In a complete liquidation, a corporation distributes equipment (basis \$200,000, FMV \$350,000) to its sole individual shareholder, whose stock basis is \$100,000. ~~The company has operated in Ohio for 30 years.~~ Ignoring the corporation's tax payment, what are the tax effects?

Target word: two-level result **Decides:** Both the corporation and the shareholder recognize gain.

A	Adjacent category	That exception applies to an 80% corporate parent, not an individual.
B	Confusion set	Liquidating distributions are exchanges, producing capital gain.
C	Correct	Deemed sale at FMV for the corporation; FMV received minus basis for the shareholder.
D	Dropped element	Drops the corporate-level gain on liquidation.

12. Answer B Concept 8

A closely held manufacturing C corporation has accumulated \$3 million of earnings with no documented plans to use them and pays no dividends. Its owners are in the top individual bracket. ~~Its products sell in 12 states.~~ What tax exposure does it face?

Target word: penalty tax exposure **Decides:** Retained earnings beyond documented needs, no dividends.

A	Dropped element	Drops the reasonable-needs allowance and minimum credit.
B	Correct	The AET targets accumulation to avoid shareholder tax.
C	Confusion set	PHC status also requires mostly passive income; this is a manufacturer.
D	Absolute language	The AET exists exactly to limit that.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	7	
Wrong stem number	A figure copied from the prompt that is not the answer.	2	
Adjacent category	The right idea in the wrong bucket.	7	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	6	
Absolute language	Always, never, guarantee — where judgment applies.	6	
Confusion set	Every option is real; the test is exact role-matching.	7	
Camouflage	Answers a stem fact that was never the question.	1	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Section 351 gain recognition	Transferors who control at least 80% after the exchange defer gain, except they recognize gain equal to the lesser of realized gain or boot received.	Treating formation as fully tax-free, or taxing all realized gain.	Property for stock plus cash, with 80% control.
2	Shareholder basis after a 351 exchange	Stock basis = basis of property transferred + gain recognized – boot received.	Using fair market value, or forgetting one of the adjustments.	A transferor's basis question after receiving stock and cash.
3	Ordering of corporate distributions	Distributions are dividends to the extent of current and accumulated E&P, then a tax-free return of basis, then capital gain.	Calling the whole distribution a dividend, or skipping basis recovery.	A distribution larger than E&P and a stock basis figure.
4	Property distributions by a corporation	A corporation recognizes gain on distributing appreciated property as if sold at fair market value, but not loss on depreciated property.	Netting the loss against the gain.	Distributed property with one gain asset and one loss asset.
5	Dividends-received deduction	A corporate shareholder deducts 50% of dividends if it owns under 20%, 65% if it owns 20% to under 80%, and 100% at 80% or more (subject to limits).	Using the wrong ownership tier.	A corporation receiving dividends from another domestic corporation with an ownership percentage.
6	Substantially disproportionate redemptions	Exchange treatment requires that after the redemption the shareholder owns less than 50% of voting stock and less than 80% of her prior percentage.	Checking only the 50% test, or assuming any redemption short of termination is a dividend.	Shares owned before and after a redemption.
7	Complete liquidation	The liquidating corporation recognizes gain or loss as if it sold its assets at FMV; shareholders recognize capital gain or loss on FMV received minus stock basis.	Taxing only one level, or applying the parent-subsidary exception to individuals.	A corporation winding up and distributing assets to individual shareholders.
8	Accumulated earnings tax	A 20% penalty tax applies to earnings kept beyond the reasonable needs of the business to avoid shareholder tax; documented business needs defend the accumulation.	Confusing it with the personal holding company tax or assuming no limit on retained earnings.	Large retained earnings, no dividends, and owners in high brackets.

Course scope (public description): Corporate Taxation describes federal income taxation of corporations and their shareholders with emphasis on the formation of the corporation, capital structure, operational alternatives, distributions, partial and complete liquidations, personal holding companies, and the accumulated earnings tax. This course offers real-life scenario case studies and exercises to better engage learners by applying course

concepts in practice. This course involves difficult tax rules and concepts; thus, it is imperative for the learner to study the textbook and complete the assigned problems in the text.